



MASENO UNIVERSITY
UNIVERSITY EXAMINATIONS 2023/2024

**SECOND YEAR SECOND SEMESTER EXAMINATIONS FOR THE
DEGREE OF BACHELOR OF SCIENCE IN AGRICULTURAL
ECONOMICS AND BACHELOR OF SCIENCE IN AGRIBUSINESS
MANAGEMENT WITH INFORMATION TECHNOLOGY**

MAIN CAMPUS

AEG 202: AGRICULTURAL FINANCE

Date: 15th April, 2024

Time: 12.00 – 3.00 pm

INSTRUCTIONS:

- DO NOT write anywhere on this question paper
- Answer ALL questions in SECTION A and any other TWO from SECTION B



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**SECOND YEAR SECOND SEMESTER EXAMINATIONS FOR THE DEGREE
OF SCIENCE IN AGRICULTURAL ECONOMICS AND AGRIBUSINESS**

MANAGEMENT WITH IT

AEG 202: AGRICULTURAL FINANCE

DATE:

TIME: 3 HOURS

INSTRUCTIONS TO CANDIDATES

1. Carefully **READ AND FOLLOW THE INSTRUCTIONS** contained in the answer booklet(s) you have been provided with.
2. This paper consists of **TWO** sections. Answer **ALL** the questions in Section **A** and any **TWO** questions in Section **B**.
3. Marks for each question are indicated in brackets against

SECTION A: ANSWER ALL QUESTIONS (40 MARKS)

Question One

- a) Write short notes on the following terms as used in agriculture finance;
 - i) Agricultural finance. (2 Marks)
 - ii) A lease. (2 Marks)
 - iii) Time value of money. (2 Marks)
- b) It is recognized that in Kenya rural areas and populations don't receive enough agricultural financial services, yet economic development for these areas and populations are key components in the overall development of the country. Explain the challenges to credit access in Kenya. (7 Marks)
- c) Mr Baraza a successful maize farmer in Vihiga County wishes to expand his output on maize production by purchasing a new maize planting machine which will ensure proper planting spacing. The machine is worth KES 210 000 inclusive of transportation and installation cost. Its expected cash inflows are:

Years	Year 1	Year 2	Year 3	Year 4	Year 5	Year 6
Cash Inflow KES	60,000	72,650	35,720	48,510	91,630	83,715

Required: Calculate the internal rate of return (IRR) if the minimum rate of return is 15 %, suggest with reason whether you should accept the project or not. (9 Marks)

d) Given below is the balance sheet for Tembo farm enterprise as at December 31, 2020.

Assets		Liabilities	
Current Assets		Current liabilities	
Cash	262,000	Accounts payable	262,000
Maize in store	3,443,000	Note for cattle	4,100,000
Beans	1,122,000	Note for feed	3,291,000
Hay	1,006,000		
Sheep	1,394,000		
Cattle	4,178,000		
Poultry	140,000		
Total	11,545,000	Total	7,653,000
Fixed Assets		Long-term liabilities	
Lorry	1,150,000	AFC Loan	5,220,000
Machinery	7,403,000	Total liabilities	12,873,000
Total	8,553,000	Owners' equity	7,225,000
Total Assets	20,098,000	Total liabilities and owners' equity	20,098,000

Using this balance sheet determine and interpret;

- Current ratio. (2 Marks)
- Acid test ratio. (2 Marks)
- Debt-to-equity ratio. (2 Marks)
- Debt to assets ratio. (2 Marks)

- e) As a credit officer at one of the local SACCO's within Maseno community you have been invited to train sugar cane farmers on resource acquisition in agriculture in Kenya. As part of your training, you are going to enlighten them on the procedure followed while applying for a farm loan. Briefly explain the procedure they will follow when they apply for a loan. (10 Marks)

SECTION B: 30 MARKS

Question Two

- a) Numerous factors influence the creditworthiness of a farmer. Credit managers usually talk of the seven C's of credit. Briefly explain the 7 c's. (7 Marks)
- b) A milking machine was bought for KES 800,000 in January 2018. It will be kept in use for four years, when it will be disposed of for an estimated amount of KES 50,000. **Required;**
- i) Prepare the milk machine account. (2 Marks)
 - ii) Calculate the depreciation amount using the straight-line method. (3 Marks)
 - iii) Prepare accumulated provision for depreciation account for the four years. (2 Marks)

Question Three

- a) Explain why it is appropriate for the farmers to keep up-to-date farm records. (8 Marks)
- b) Farmers can access finance through different ways. Explain lease as a source of agriculture finance stating its advantages and disadvantages. (7 Marks)

Question Four

- a) Explain what a partial budget is and state the purposes of its preparation. (4 Marks)
- b) Explain the two steps that every farm manager should take while taking an inventory count and evaluation. (3 Marks)
- c) Mr. Otieno a sugar cane farmer from Siaya County has invested Ksh.160,000 for 5 years at a 10% rate of interest at Ukulima Cooperative Society.

- i) What will be the simple interest and amount after 5 years? (4 Marks)
- ii) What will be the compound interest and amount after 5 years if it is compounding quarterly? (4 Marks)

Question Five

- a) Prices of most agricultural products vary greatly. Access to finance can help farmers increase the value of their crops in several ways. Discuss. (8 Marks)
- b) Using a Kenyan dairy as an example discuss the 3 R's of credit. (7 Marks)